

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

STATEMENT OF FINANCIAL POSITION AS AT 31 MARCH 2018		31.03.2017 UnAudited (Ksh'000)	Bank 31.12.2017 Audited (Ksh'000)	31.03.2018 UnAudited (Ksh'000)	Group Consolidated 31.03.2017 UnAudited (Ksh'000)	31.12.2017 Audited (Ksh'000)	31.03.2018 UnAudited (Ksh'000)
A. ASSETS							
1 Cash balances (both local and foreign)		416,788	447,263	355,021	416,908	447,263	355,186
2 Balances due from Central Bank of Kenya		3,328,988	2,823,459	2,120,639	3,328,988	2,823,459	2,120,639
3 Kenya Government and other securities held for dealing purposes		-	-	-	-	-	-
4 Financial Assets at fair value through profit and loss		-	-	-	-	-	-
5 Investment Securities:							
a) Held to Maturity:		3,090,978	746,179	1,316,673	3,090,978	746,179	1,316,673
i. Kenya Government securities		3,090,978	746,179	1,316,673	3,090,978	746,179	1,316,673
ii. Other securities		-	-	-	-	-	-
b) Available for sale:		1,158,749	1,541,117	1,174,427	1,158,749	1,541,117	1,174,427
i. Kenya Government securities		1,158,749	1,541,117	1,174,427	1,158,749	1,541,117	1,174,427
ii. Other securities		-	-	-	-	-	-
6 Deposits and balances due from local banking institutions		46,191	1,530,873	2,767,912	46,191	1,530,873	2,767,912
7 Deposits and balances due from banking institutions abroad		786,052	770,389	227,934	786,052	770,389	227,934
8 Tax recoverable		-	195,394	173,465	51,414	204,012	194,370
9 Loans and advances to customers (net)		54,598,316	49,639,639	48,782,852	54,598,316	49,639,639	48,782,852
10 Balances due from banking institutions in the group		-	-	-	-	-	-
11 Investments in associates		-	-	-	-	-	-
12 Investments in subsidiary companies		-	-	-	-	-	-
13 Investment in Joint ventures		274,498	254,580	254,580	1,280,110	1,713,985	1,715,047
14 Investment properties		-	-	-	1,544,231	748,549	745,986
15 Property and equipment		1,431,741	1,513,899	1,471,779	1,435,212	1,517,380	1,505,619
16 Prepaid operating lease rentals		38,821	38,475	38,359	44,590	44,108	43,766
17 Intangible assets		1,179,225	1,071,997	1,045,985	1,179,595	1,072,387	1,017,912
18 Deferred tax asset		750,593	816,436	813,625	755,459	839,499	846,176
19 Retirement benefit asset		-	-	-	-	-	-
20 Other assets		885,434	736,856	868,248	2,190,135	3,902,277	4,025,439
21 TOTAL ASSETS		67,986,372	62,126,556	61,411,498	71,906,926	67,541,116	66,839,938
B. LIABILITIES							
22 Balances due to Central Bank of Kenya		-	-	-	-	-	-
23 Customer deposits		38,352,686	36,897,543	36,072,048	38,257,115	36,660,591	35,911,696
24 Deposits and balances due to local banking institutions		75,207	83,682	85,164	75,207	83,682	85,164
25 Deposits and balances due to foreign banking institutions		-	-	-	-	-	-
26 Other money market deposits		-	-	-	-	-	-
27 Borrowed funds		18,700,572	14,589,012	14,396,442	20,591,184	16,038,675	16,894,504
28 Balances due to banking institutions in the group		-	-	-	-	-	-
29 Tax payable		3,537	-	-	3,541	3	3
30 Dividends payable		-	-	-	53,918	49,058	47,077
31 Deferred tax liability		-	-	-	-	-	-
32 Retirement benefit liability		-	-	-	-	-	-
33 Other liabilities		982,837	592,858	1,064,529	1,545,952	3,259,572	2,602,558
34 TOTAL LIABILITIES		58,114,839	52,163,095	51,618,183	60,526,916	56,091,581	55,541,003
C. SHAREHOLDERS' FUNDS							
35 Paid up /Assigned capital		5,000,000	5,000,000	5,000,000	1,747,208	1,747,683	1,747,733
36 Share premium/(discount)		3,513,662	3,513,662	3,513,662	4,342,437	4,342,912	4,342,962
37 Revaluation reserves		-	179,580	179,580	701,463	881,044	881,044
38 Retained earnings/Accumulated losses		923,209	600,656	386,004	4,005,790	3,712,213	3,517,007
39 Statutory loan loss reserves		431,751	640,800	678,747	431,751	640,800	678,747
40 Other Reserves		(47,838)	(21,987)	(15,428)	(74,081)	(48,226)	(41,667)
41 Proposed dividends		-	-	-	174,691	122,359	122,359
42 Capital grants		50,750	50,750	50,750	50,750	50,750	50,750
43 TOTAL SHAREHOLDERS' FUNDS		9,871,533	9,963,461	9,793,315	11,380,009	11,449,535	11,298,935
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS		67,986,372	62,126,556	61,411,498	71,906,926	67,541,116	66,839,938

STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 31 MARCH 2018		31.03.2017 UnAudited (Ksh'000)	Bank 31.12.2017 Audited (Ksh'000)	31.03.2018 UnAudited (Ksh'000)	Group Consolidated 31.03.2017 UnAudited (Ksh'000)	31.12.2017 Audited (Ksh'000)	31.03.2018 UnAudited (Ksh'000)
1 INTEREST INCOME							
1.1 Loans and advances		1,727,777	6,713,482	1,548,774	1,727,777	6,713,482	1,548,774
1.2 Government securities		118,864	314,112	50,218	118,864	314,112	50,218
1.3 Deposits and placements with banking institutions		3,416	105,032	13,760	3,416	105,032	13,760
1.4 Other Interest Income		-	-	-	-	-	-
1.5 Total interest income		1,850,057	7,132,626	1,612,752	1,850,057	7,132,626	1,612,752
2 INTEREST EXPENSES							
2.1 Customer deposits		570,413	2,323,445	542,329	570,324	2,323,445	542,329
2.2 Deposits and placement from banking institutions		29,908	110,940	31,029	29,908	110,940	31,029
2.3 Other interest expenses		438,189	1,639,967	342,498	452,221	1,721,873	342,162
2.4 Total interest expenses		1,038,510	4,074,352	915,856	1,052,453	4,156,258	915,520
3 NET INTEREST INCOME/(LOSS)		811,548	3,058,274	696,896	797,605	2,976,368	697,232
4 OTHER OPERATING INCOME							
4.1 Fees and commissions on loans and advances		18,366	51,039	6,843	18,366	51,039	6,843
4.2 Other fees and commissions		29,462	94,503	48,854	34,098	149,441	62,731
4.3 Foreign exchange trading income/(Loss)		24,134	50,221	17,570	24,134	50,221	17,570
4.4 Dividend Income		-	-	-	-	-	-
4.5 Other income		15,043	88,094	12,115	96,251	1,095,725	196,605
4.6 Total Non-interest income		87,005	283,857	85,382	172,849	1,346,426	283,749
5 TOTAL OPERATING INCOME		898,553	3,342,131	782,278	970,453	4,322,794	980,981
6 OPERATING EXPENSES							
6.1 Loan loss provision		200,749	576,203	112,649	200,749	576,203	112,668
6.2 Staff costs		208,843	853,599	200,560	266,851	1,088,000	218,739
6.3 Directors' emoluments		4,042	7,309	2,696	5,831	8,772	3,684
6.4 Rental charges		26,482	110,466	28,466	26,482	110,466	28,466
6.5 Depreciation charge on property and equipment		39,024	167,589	42,658	39,184	168,435	42,920
6.6 Amortisation charges		43,566	182,362	46,406	43,587	182,398	46,449
6.7 Other operating expenses		240,485	1,051,638	271,965	258,378	1,854,125	475,118
6.8 Total Other Operating Expenses		763,190	2,949,166	705,400	841,063	3,988,399	928,044
7 Profit/(loss) before tax and exceptional items		135,363	392,965	76,879	129,390	334,395	52,937
8 Exceptional items		-	(19,918)	-	-	(22,771)	-
9 Profit/(loss) after exceptional items		135,363	373,047	76,879	129,390	311,624	52,937
10 Current tax		(40,609)	(278,174)	(23,063)	(41,052)	(296,840)	(15,881)
11 Deferred tax		-	86,376	-	-	111,432	-
12 Profit/(loss) after tax and exceptional items		94,754	181,249	53,816	88,338	126,216	37,056
13 Other Comprehensive Income							
13.1 Gains/(Losses) from translating the financial statements of foreign operations		-	-	-	-	-	-
13.2 Fair value changes in available for sale financial assets		2,585	39,520	9,371	2,585	39,520	9,371
13.3 Revaluation surplus on Property, plant and equipment		-	189,032	-	-	189,032	-
13.4 Share of other comprehensive income of associates		-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income		(776)	(21,308)	(2,811)	(776)	(21,308)	(2,811)
14 Other Comprehensive Income for the year net of tax		1,810	207,244	6,560	1,810	207,244	6,560
15 Total comprehensive income for the year		96,563	388,493	60,376	90,148	333,460	43,616
Earnings per share		75.80	36.25	43.05	1.01	0.36	0.42
Dividend per share		-	40.00	-	-	0.35	-

		Bank		Group Consolidated			
III	DISCLOSURES AS AT 31 MARCH 2018	31.03.2017 UnAudited (Ksh'000)	31.12.2017 Audited (Ksh'000)	31.03.2018 UnAudited (Ksh'000)	31.03.2017 UnAudited (Ksh'000)	31.12.2017 Audited (Ksh'000)	31.03.2018 UnAudited (Ksh'000)
1	Non-Performing Loans and Advances						
a)	Gross non-performing loans and advances	7,783,590	8,212,167	8,479,657	7,783,590	8,212,167	8,479,657
b)	Less: Interest in Suspense	1,113,363	1,261,043	1,385,613	1,113,363	1,261,043	1,385,613
c)	Total non-Performing loans and advances (a-b)	6,670,227	6,951,124	7,094,044	6,670,227	6,951,124	7,094,044
d)	Less: Loan loss provisions	1,436,766	1,729,104	1,937,592	1,436,766	1,729,104	1,937,592
e)	Net non-performing loans and advances(c-d)	5,233,461	5,222,020	5,156,452	5,233,461	5,222,020	5,156,452
f)	Discounted value of securities	5,233,461	5,222,020	5,156,452	5,233,461	5,222,020	5,156,452
g)	Net Exposure(e-f)	-	-	-	-	-	-
2	Insider loans and advances						
a)	Directors, shareholders and associates	643,497	507,608	476,357	643,497	507,608	476,357
b)	Employees	1,066,288	1,019,530	964,007	1,066,288	1,019,530	964,007
c)	Total insider Loans and Advances	1,709,784	1,527,138	1,440,364	1,709,784	1,527,138	1,440,364
3	Off-Balance Sheet items						
a)	Letters of credit, guarantees and acceptances	657,971	280,252	160,881	657,971	280,252	160,881
b)	Forwards, swaps and options	397,128	1,445,300	1,649,300	397,128	1,445,300	1,649,300
c)	Other contingent liabilities	-	-	-	-	-	-
c)	Total contingent liabilities	1,055,099	1,725,552	1,810,181	1,055,099	1,725,552	1,810,181
4	Capital Strength						
a)	Core capital	8,591,063	8,297,882	8,043,706	9,265,896	8,963,309	8,818,699
b)	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c)	Excess/Deficiency	7,591,063	7,297,882	7,043,706	8,265,896	7,963,309	7,818,699
d)	Supplementary capital	915,130	811,402	798,949	915,130	811,402	768,230
e)	Total capital (a+d)	9,506,193	9,109,284	8,842,655	10,181,026	9,774,711	9,586,928
f)	Total risk weighted assets	54,896,415	53,575,584	52,217,439	56,261,711	56,912,342	56,289,137
g)	Core capital / Total deposit liabilities	22.36%	22.44%	22.25%	24.17%	24.39%	22.40%
h)	Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%
i)	Excess/Deficiency	14.36%	14.44%	14.25%	16.17%	16.39%	14.40%
j)	Core capital / Total risk weighted assets	15.65%	15.49%	15.40%	16.47%	15.75%	15.67%
k)	Minimum Statutory Ratio	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%
l)	Excess/Deficiency (j-k)	5.15%	4.99%	4.90%	5.97%	5.25%	5.17%
m)	Total capital / Total risk weighted assets	17.32%	17.00%	16.93%	18.10%	17.18%	17.03%
n)	Minimum Statutory Ratio	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%
o)	Excess/Deficiency (m-n)	2.82%	2.50%	2.43%	3.60%	2.68%	2.53%
p)	Adjusted Core Capital/Total Deposit Liabilities*	-	-	22.25%	-	-	22.40%
q)	Adjusted Core Capital/Total Risk Weighted Assets*	-	-	15.40%	-	-	15.67%
r)	Adjusted Total Capital/Total Risk Weighted Assets*	-	-	16.93%	-	-	17.03%
5	Liquidity						
a)	Liquidity Ratio	21.40%	20.70%	21.40%	21.40%	20.70%	21.40%
b)	Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%
c)	Excess/Deficiency) (a-b)	1.40%	0.70%	1.40%	1.40%	0.70%	1.40%